

The 79-member UPA Government has the largest ever ministerial structure



global acquisitions have been fuelled by private enterprise. In fertilisers, capacity addition has been poor, with just one plant added in 2005. Worse, nine urea plants, with a combined capacity of over 24 lakh tonne, are closed. Imports, meanwhile, are rising.

India is the third largest producer and consumer of fertilisers in the world, with an installed capacity of 12.25 million tonne of nitrogenous and 5.5 million tonne of phosphatic fertilisers. Till August 24, 1992, all fertilisers were covered by controls. Since then, the government has put them under the Essential Commodities Act. While phosphate and potassic fertilisers were decontrolled in 1992, others in the ammonium group were decontrolled in June 1994. Currently anyone is free to import diammonium phosphate and sell it anywhere in India. As per Industrial Policy Resolution dated July 24, 1991, no licence is required for setting up fertiliser plants. However, since the MRP

of fertilisers is statutorily fixed or indicated, fertiliser manufacturers are compensated by way of subsidy or concession, for the difference between the cost of production and the MRP. But because new plants entail costs, approval of the Government is required for fertiliser projects. That's backdoor licence raj for you.

Meanwhile, petrochemicals are suffering because there is no clear policy enabling substitution of costly metals with cheaper polymers. Use of plastics in thrust areas like agricultural implements, water supply and management, home construction, consumer electronics and durables, has brought down costs and enabled growth in the sector. But against a global

average of 25 kg, per capita consumption of polymers in India is barely 4 kg. In the pharmaceutical sector, the only debate is that of the pricing of essential drugs. With global acquisitions, Indian companies will have not just scale but also access to the latest in drugs. All that is needed is a price regulation system that is best monitored by the Ministry of Health.

